investors.

The problem was that neither company was growing.

Both CEOs brought me identical-looking graphs showing that their early growth had flatlined. They could not understand why. They were acutely aware of the need to show progress to their employees and investors and came to me because they wanted advice on how to jump-start their growth. Should they invest in more advertising or marketing programs? Should they focus on product quality or new features? Should they try to improve conversion rates or pricing?

As it turns out, both companies share a deep similarity in the way their businesses grow—and therefore a similar confusion about what to do. Both are using the same engine of growth, the topic of this chapter.

WHERE DOES GROWTH COME FROM?

The engine of growth is the mechanism that startups use to achieve sustainable growth. I use the word sustainable to exclude all one-time activities that generate a surge of customers but have no long-term impact, such as a single advertisement or a publicity stunt that might be used to jump-start growth but could not sustain that growth for the long term.

Sustainable growth is characterized by one simple rule:

> New customers come from the actions of past customers.

There are four primary ways past customers drive sustainable growth:

1. Word of mouth. Embedded in most products is a natural level of growth that is caused by satisfied customers' enthusiasm for the product. For example, when I bought my first TiVo DVR, I couldn't stop telling my friends and family about it. Pretty soon, my entire family was using one.